



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

SB 1618: military affairs commission

RIVERO FLOOR AMENDMENT

1. Adds a legislative findings clause relating to the relationship between Arizona and Taiwan.

RIVERO FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1618
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 26-261, Arizona Revised Statutes, is amended to
3 read:

4 26-261. Military affairs commission; confidential discussions
5 and information; definition

6 A. The military affairs commission is established. The commission
7 membership consists of:

8 1. ~~Sixteen~~ THE FOLLOWING members who are appointed by the governor
9 ~~and who include the following:~~

10 ~~(a) Twelve members who reside in a community in which a military~~
11 ~~installation is located. Of this group, six members shall have expertise~~
12 ~~in military affairs and six members shall be local elected officials.~~

13 ~~(b) Four members who represent private property interests in the~~
14 ~~territory in the vicinity as defined in section 28-8461 or in a community~~
15 ~~in which a military installation is located.~~

16 ~~2. One member who represents private property interests in the~~
17 ~~territory in the vicinity as defined in section 28-8461 or in a community~~
18 ~~in which a military installation is located and who is appointed by the~~
19 ~~president of the senate.~~

20 ~~3. One member who represents private property interests in the~~
21 ~~territory in the vicinity as defined in section 28-8461 or in a community~~
22 ~~in which a military installation is located and who is appointed by the~~
23 ~~speaker of the house of representatives.~~

24 (a) FOUR MEMBERS WHO ARE CURRENTLY SERVING IN OR, WITHIN FIVE YEARS
25 PRECEDING THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS SECTION, RETIRED
26 FROM THE UNITED STATES ARMED FORCES OR THE NATIONAL GUARD, WHO ARE
27 EXPERIENCED IN WORKING WITH THE UNITED STATES DEPARTMENT OF DEFENSE

1 PLANNING, PROGRAMMING, BUDGETING AND EXECUTION PROCESSES, OR SUCCESSOR
2 PROCESSES, AND WHO ARE AT LEAST THE FOLLOWING RANKS:

3 (i) IF A COMMISSIONED OFFICER, A LIEUTENANT IN THE UNITED STATES
4 NAVY OR CAPTAIN IN ANOTHER BRANCH OF THE ARMED FORCES OF THE UNITED
5 STATES.

6 (ii) IF A WARRANT OFFICER, A CHIEF WARRANT OFFICER TWO.

7 (iii) IF AN ENLISTED NONCOMMISSIONED OFFICER, A MASTER SERGEANT,
8 FIRST SERGEANT, SENIOR CHIEF PETTY OFFICER OR SENIOR MASTER SERGEANT.

9 (iv) SENIOR EXECUTIVE SERVICE.

10 (b) SEVEN MEMBERS WHO REPRESENT EACH COMMUNITY MILITARY SUPPORT
11 ORGANIZATION RECOGNIZED BY A MILITARY INSTALLATION IN THIS STATE OR THE
12 NATIONAL GUARD.

13 (c) TWO MEMBERS WHO HAVE CONGRESSIONAL EXPERIENCE AND EXPERTISE ON
14 MILITARY AND DEFENSE POLICY.

15 (d) TWO MEMBERS WHO ARE FROM ORGANIZATIONS THAT REPRESENT MEMBERS
16 OF THE NATIONAL DEFENSE AND ACADEMIC RESEARCH AND DEVELOPMENT INDUSTRIES.

17 (e) TWO MEMBERS WHO ARE FROM ORGANIZATIONS THAT REPRESENT MEMBERS
18 WITHIN THE NATIONAL DEFENSE AND AEROSPACE INDUSTRIES.

19 2. THE PRESIDENT OF THE SENATE OR THE PRESIDENT'S DESIGNEE.

20 3. THE SPEAKER OF THE HOUSE OF REPRESENTATIVES OR THE SPEAKER'S
21 DESIGNEE.

22 4. ~~Four~~ SIX nonvoting advisory members who are not counted for the
23 purpose of determining a quorum, consisting of:

24 (a) The adjutant general or a designee of the adjutant general.

25 ~~(b) A representative of a military installation commander who is~~
26 ~~appointed by the governor.~~

27 (b) THE CHAIRPERSON OR COCHAIRPERSON OF THE ARIZONA COMMANDERS
28 SUMMIT SUCCESSOR ORGANIZATION THAT REGULARLY CONVENES ALL MILITARY
29 INSTALLATION COMMANDERS IN THIS STATE.

30 ~~(c) A representative from a federal agency involved in land use~~
31 ~~issues who is appointed by the governor.~~

32 (c) TWO MEMBERS WHO ARE FROM A STATE OR FEDERAL AGENCY REQUIRED FOR
33 COMMISSION MATTERS AND WHO ARE APPOINTED BY THE COCHAIRPERSONS OF THE
34 MILITARY AFFAIRS COMMISSION.

35 ~~(d) The state land commissioner or a designee of the commissioner.~~

36 (d) THE CHIEF EXECUTIVE OFFICER OF THE ARIZONA COMMERCE AUTHORITY
37 OR THE CHIEF EXECUTIVE OFFICER'S DESIGNEE.

38 (e) THE CHAIRPERSON OF THE ARIZONA BOARD OF REGENTS OR THE
39 CHAIRPERSON'S DESIGNEE.

40 B. The military affairs commission shall have geographic diversity
41 in its membership. The governor shall designate two of the governor's
42 appointees as cochairpersons of the commission. **UNLESS OTHERWISE**
43 **PROVIDED**, members or designees of the commission shall not send alternates
44 to represent them at commission meetings. The voting members shall serve
45 six-year terms.

46 C. The department of emergency and military affairs **AND THE OFFICE**
47 **OF DEFENSE INNOVATION** shall **JOINTLY** staff the commission.

- 1 D. The commission shall:
- 2 1. Meet at least ~~annually~~ TWICE EACH YEAR.
- 3 2. Meet on a regular basis with the governor, the president of the
- 4 senate and the speaker of the house of representatives, either
- 5 individually or collectively, to provide recommendations on military
- 6 issues AND INDUSTRIES RELATED TO NATIONAL DEFENSE and report on the
- 7 progress of the military affairs commission.
- 8 3. Annually meet with the appropriate legislative committees that
- 9 have jurisdiction over military installations.
- 10 4. Advise the governor and the legislature on matters affecting the
- 11 operational viability of Arizona military facilities, including military
- 12 installations, military training routes, military restricted airspace,
- 13 military ranges or areas under the jurisdiction of ~~an active unit of the~~
- 14 ANY uniformed armed services of the United States or any ~~reserve or~~
- 15 national guard component ~~of the uniformed armed services of the United~~
- 16 ~~States~~ OF THIS STATE, AS WELL AS ANY MATTERS AFFECTING THE RETENTION OF
- 17 EXISTING AND ATTRACTION OF NEW DEFENSE-RELATED BUSINESSES.
- 18 ~~5. Develop criteria, including accountability requirements, for~~
- 19 ~~awarding monies from the military installation fund established by section~~
- 20 ~~26-262.~~
- 21 ~~6. Review applications for monies to be awarded from the military~~
- 22 ~~installation fund.~~
- 23 ~~7. Annually recommend to the department of emergency and military~~
- 24 ~~affairs a priority listing of monies with available resources.~~
- 25 ~~8. Recommend to the department of emergency and military affairs~~
- 26 ~~how the monies in the military installation fund should be awarded.~~
- 27 ~~9.~~ 5. Proactively assist with coordination among the United States
- 28 military operating in Arizona, the congressional delegation, the governor,
- 29 the state legislature and state and local leaders.
- 30 ~~10.~~ 6. PROACTIVELY recommend executive, legislative and federal
- 31 actions necessary to sustain military operations and enhance ~~the~~ THIS
- 32 state's preparedness to ~~respond to potential~~ ATTRACT new missions and
- 33 prevent military facilities from closure or downsizing.
- 34 7. PROACTIVELY RECOMMEND EXECUTIVE, LEGISLATIVE AND FEDERAL ACTIONS
- 35 NECESSARY TO RETAIN EXISTING AND ATTRACT NEW DEFENSE-RELATED BUSINESSES.
- 36 ~~11.~~ 8. Study issues relating to veterans, active duty, national
- 37 guard and reserve members of the United States armed forces, MILITARY
- 38 FAMILIES and other military quality of life issues.
- 39 9. RECOMMEND TO THE ARIZONA FINANCE AUTHORITY AND THE ARIZONA
- 40 INDUSTRIAL DEVELOPMENT AUTHORITY PROJECTS IN THIS STATE THAT REQUIRE
- 41 FUNDING AND THAT DO ANY OF THE FOLLOWING:
- 42 (a) ENHANCE THE MILITARY VALUE OF AREA MILITARY INSTALLATIONS AND
- 43 DEFENSE FACILITIES.
- 44 (b) PROVIDE ASSISTANCE TO COMMUNITIES THAT ARE NEGATIVELY IMPACTED
- 45 BY BASE REALIGNMENTS OR CLOSURE OR BY LOSS OF A MISSION FOR AN ECONOMIC
- 46 DEVELOPMENT PROJECT.

1 (c) PROVIDE ASSISTANCE TO COMMUNITIES THAT ARE POSITIVELY IMPACTED
2 BY BASE REALIGNMENTS OR CLOSURE FOR AN INFRASTRUCTURE PROJECT.

3 (d) SUPPLEMENT THE COMMUNITY ECONOMIC REDEVELOPMENT VALUE OF A
4 CLOSED MILITARY INSTALLATION OR DEFENSE FACILITY.

5 10. SUBMIT A REPORT ON OR BEFORE SEPTEMBER 1 OF EACH EVEN-NUMBERED
6 YEAR TO THE GOVERNOR, THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE
7 HOUSE OF REPRESENTATIVES ABOUT MILITARY INSTALLATIONS AND DEFENSE-RELATED
8 BUSINESSES IN THIS STATE. THE REPORT MUST INCLUDE ALL OF THE FOLLOWING:

9 (a) AN ECONOMIC IMPACT STATEMENT DESCRIBING IN DETAIL THE EFFECT OF
10 THE MILITARY AND DEFENSE INDUSTRY ON THE ECONOMY OF THIS STATE.

11 (b) A STATEWIDE ASSESSMENT OF FEDERAL AND NATIONAL GUARD MILITARY
12 INSTALLATIONS AND CURRENT MISSIONS.

13 (c) A STATEWIDE STRATEGY TO ATTRACT NEW MILITARY MISSIONS AND
14 DEFENSE-RELATED BUSINESS, INCLUDING SPECIFIC ACTIONS THAT ADD MILITARY
15 VALUE TO EXISTING MILITARY INSTALLATIONS.

16 (d) A LIST OF STATE AND FEDERAL ACTIVITIES THAT HAVE A SIGNIFICANT
17 IMPACT ON ACTIVE MILITARY INSTALLATIONS AND CURRENT MISSIONS.

18 (e) A STATEMENT IDENTIFYING ALL OF THE FOLLOWING:

19 (i) THE STATE AND FEDERAL PROGRAMS AND SERVICES THAT ASSIST
20 COMMUNITIES IMPACTED BY MILITARY BASE CLOSURES OR REALIGNMENTS AND THE
21 EFFORTS TO COORDINATE THOSE PROGRAMS.

22 (ii) THE EFFORTS TO COORDINATE STATE AGENCY PROGRAMS AND SERVICES
23 THAT ASSIST COMMUNITIES IN RETAINING ACTIVE MILITARY INSTALLATIONS AND
24 CURRENT MISSIONS.

25 (iii) AN EVALUATION OF INITIATIVES TO RETAIN EXISTING AND ATTRACT
26 NEW DEFENSE-RELATED BUSINESSES.

27 11. DEVELOP CRITERIA, INCLUDING ACCOUNTABILITY REQUIREMENTS, FOR
28 AWARDED MONIES FROM THE MILITARY INSTALLATION FUND ESTABLISHED BY SECTION
29 26-262.

30 12. SUBJECT TO LEGISLATIVE APPROPRIATION, DO ALL OF THE FOLLOWING
31 WITH RESPECT TO THE MILITARY INSTALLATION FUND ESTABLISHED BY SECTION
32 26-262:

33 (a) REVIEW APPLICATIONS FOR MONIES TO BE AWARDED.

34 (b) ANNUALLY RECOMMEND TO THE DEPARTMENT OF EMERGENCY AND MILITARY
35 AFFAIRS A PRIORITY LISTING OF MONIES WITH AVAILABLE RESOURCES.

36 (c) RECOMMEND TO THE DEPARTMENT OF EMERGENCY AND MILITARY AFFAIRS
37 HOW MONIES SHOULD BE AWARDED.

38 E. STATE AGENCIES SHALL COOPERATE WITH AND ASSIST THE COMMISSION
39 WITH THE FOLLOWING:

40 1. PREPARING THE REPORT REQUIRED BY SUBSECTION D, PARAGRAPH 10 OF
41 THIS SECTION, INCLUDING PROVIDING INFORMATION ABOUT REGULATIONS, POLICIES,
42 PROGRAMS AND SERVICES THAT MAY IMPACT COMMUNITIES DEPENDENT ON MILITARY
43 INSTALLATIONS, DEFENSE-RELATED BUSINESSES AND THE VIABILITY OF EXISTING
44 MILITARY MISSIONS IN THIS STATE.

45 2. SUPPORTING AN INSTALLATION COMMANDER WHO REQUESTS ASSISTANCE IN
46 PREPARING AN EVALUATION OF THAT INSTALLATION BASED ON CRITERIA FOR THE

1 INSTALLATION BY THE UNITED STATES DEPARTMENT OF DEFENSE FOR MISSION
2 RETENTION OR ASSIGNMENT OR THE BASE REALIGNMENT AND CLOSURE PROCESS.

3 ~~F.~~ F. Discussions that are related to the federal government's
4 process to determine the closure, realignment, relocation, expansion or
5 forced structure reduction of military installations and to proprietary
6 alternatives to this state's military base closure or realignment
7 strategies are not subject to title 38, chapter 3, article 3.1.

8 ~~F.~~ G. Information that is developed or obtained by the commission
9 AND that pertains to proprietary strategies of the commission or that is
10 related to the relocation of military units is confidential and is not
11 subject to title 39, chapter 1, including documents related to the federal
12 government's process to determine the closure, realignment, relocation,
13 expansion or forced structure reduction of military installations until
14 the federal government has issued a final, unappealable decision in that
15 process or, in the event of litigation, a court of competent jurisdiction
16 has entered a final, unappealable order regarding the closure,
17 realignment, relocation, expansion or forced structure reduction of the
18 military installations. If the commission enters into a confidentiality
19 agreement with a third party, the commission may disclose information that
20 is deemed confidential pursuant to this subsection to that third party.

21 ~~G.~~ H. For the purposes of this section, "military installation"
22 means a military airport or ancillary military facility as defined in
23 section 28-8461 or any real property that services, supports or is used by
24 the military.

25 Sec. 2. Section 26-262, Arizona Revised Statutes, is amended to
26 read:

27 26-262. Military installation fund; rules; application
28 review; award and use of monies; reporting
29 requirements; definitions

30 A. The military installation fund is established consisting of
31 revenues made available to the fund from any lawful source. The adjutant
32 general shall administer the fund. On notice from the adjutant general,
33 the state treasurer shall invest and divest monies in the fund as provided
34 by section 35-313, and monies earned from investment shall be credited to
35 the fund. The fund is exempt from the provisions of section 35-190
36 relating to lapsing of appropriations.

37 B. Monies in the fund are continuously appropriated for the
38 purposes of this section.

39 C. The department, in conjunction with the military affairs
40 commission established by section 26-261, shall adopt by rule procedures
41 for ACQUIRING PROPERTY AND FOR receiving and evaluating applications and
42 awarding the monies as provided by subsection G of this section. If
43 ACQUISITION PROPOSALS AND applications for monies exceed the amount
44 available in the fund, the department may request applicants to reduce the
45 amount of MONIES REQUESTED IN the applications or deny or award reduced
46 amounts.

1 D. The department shall ~~PREPARE EACH ACQUISITION PROPOSAL AND~~
2 receive each application for fund monies and shall forward each
3 ~~ACQUISITION PROPOSAL AND~~ application to the military affairs commission.
4 The military affairs commission shall review each ~~ACQUISITION PROPOSAL AND~~
5 application and recommend to the department ~~both~~ ALL of the following:

6 1. Each applicant that should be awarded monies from the fund.

7 2. The dollar amount that each applicant pursuant to paragraph 1 of
8 this subsection should be awarded from the fund.

9 3. ~~EACH ACQUISITION, IN THE NAME OF THIS STATE, BY GIFT, GRANT,~~
10 ~~PURCHASE OR ANY OTHER LAWFUL MANNER, OF REAL PROPERTY, PROPERTY RIGHTS AND~~
11 ~~RELATED BUILDINGS AND INFRASTRUCTURE THAT IS VITAL TO THE PRESERVATION OR~~
12 ~~ENHANCEMENT OF A MILITARY INSTALLATION IN A HIGH NOISE OR ACCIDENT~~
13 ~~POTENTIAL ZONE AS DEFINED IN SECTION 28-8461 OR IN AN AREA THAT IS VITAL~~
14 ~~TO THE OPERATION AND SUPPORT OF A MILITARY INSTALLATION IN ACCORDANCE WITH~~
15 ~~SUBSECTION G, PARAGRAPH 1 OF THIS SECTION.~~

16 E. The department shall consider the military affairs commission's
17 recommendations and shall decide how the monies in the fund ~~shall~~ WILL be
18 ~~awarded~~ DISBURSED among the ~~ACQUISITION PROPOSALS AND FUND~~ applicants.
19 The department, after reviewing the recommendations by the military
20 affairs commission, shall make the monies in the fund available for the
21 purpose of military installation preservation and enhancement projects.
22 Except as provided in subsection F of this section, after the department
23 makes ~~an award~~ A decision the department shall ~~award~~ DISBURSE the monies.

24 F. If the department does not comply with the military affairs
25 commission's recommendation for the ~~awards~~ DISBURSEMENTS, within five days
26 after the department's decision the department shall report in writing to
27 the military affairs commission, the president of the senate, the speaker
28 of the house of representatives and the governor. The report shall
29 include the ~~award~~ DISBURSEMENT decision of the department and the
30 recommendation of the military affairs commission. The department shall
31 not distribute monies from the fund to the applicants for at least sixty
32 days after the report is received.

33 G. The department shall:

34 1. Award UP TO eighty percent of the monies in the fund for the
35 following purposes, except that up to twenty percent of this amount may be
36 ~~awarded~~ DISBURSED to cities, towns and counties for the purpose of
37 acquiring private land ~~for the purposes~~ AS prescribed in paragraph 2 of
38 this subsection:

39 (a) Acquisition of private property for the purpose of preserving a
40 military installation.

41 (b) Acquisition of real estate and rights to real estate and
42 otherwise preserving real estate from development or mitigating impacts on
43 development in high noise or accident potential zones as defined in
44 section 28-8461 ~~and~~ OR in areas as required to support a military
45 installation.

1 (c) Acquisition of real estate, property rights and related
2 infrastructure that are vital to ~~the preservation~~ PRESERVING or
3 ~~enhancement of~~ ENHANCING a military installation.

4 (d) Structural renovations or construction of building
5 modifications or improvements that mitigate or attenuate impacts in high
6 noise or accident potential zones.

7 (e) Removal of structures or improvements that are necessary ~~for~~
8 ~~acquisition of~~ TO ACQUIRE private property for the purpose of preserving a
9 military installation.

10 (f) Management of acquired property that is necessary to preserve
11 and enhance military missions and military installations.

12 2. Except as provided by subsection M of this section, ~~award~~
13 DISBURSE twenty percent of the monies in the fund to cities, towns and
14 counties for:

15 (a) Military installation preservation and enhancement projects or
16 analytical reports or studies that are requested by federal or state
17 agencies or military facilities in this state.

18 (b) Investment in or construction of capital improvements or
19 infrastructure for the purpose of preserving a military installation.

20 (c) Structural renovations or construction of building
21 modifications or improvements that mitigate or attenuate impacts in high
22 noise or accident potential zones.

23 (d) Removal of structures or improvements that are necessary ~~for~~
24 ~~acquisition of~~ TO ACQUIRE private property for the purpose of preserving a
25 military installation.

26 (e) Management of acquired property that is necessary to preserve
27 and enhance military missions and military installations.

28 H. Before ~~awarding~~ DISBURSING monies pursuant to subsection G of
29 this section, the department shall submit a report of the proposed ~~awards~~
30 DISBURSEMENTS to the joint committee on capital review for review. The
31 legislature shall review the distribution formula prescribed in subsection
32 G of this section at least once every four years.

33 I. Monies in the fund may be ~~awarded~~ DISBURSED for debt service on
34 bonds issued by a political subdivision for the purpose of acquisition of
35 private property for the purpose of preserving a military airport or
36 ancillary military facility as defined in section 28-8461 if the land
37 acquisition occurs after December 31, 2004.

38 J. The department shall annually report the ~~awards~~ DISBURSEMENTS
39 made pursuant to this section. The report shall be in writing and shall
40 be sent to the president of the senate, the speaker of the house of
41 representatives and the governor. The department shall send a copy of
42 this report to the secretary of state.

43 K. The department may:

44 1. NOTWITHSTANDING SECTION 37-803, transfer any real estate,
45 property rights and related infrastructure that are acquired pursuant to
46 this section to any other governmental agency for the purposes of
47 preserving or enhancing military installations in this state.

1 2. Sell or otherwise dispose of any real estate, property rights
2 and related infrastructure **THAT ARE** acquired pursuant to this
3 section. The conveyance shall be made to the highest and most responsible
4 bidder at a public sale held for that purpose.

5 3. After establishing, laying out or substantially completing an
6 improvement to real property, convey the real property or any interest in
7 the real property that the department determines is not necessary, useful
8 or convenient for the use of the improvement by the department. The
9 conveyance shall be made to the highest and most responsible bidder at a
10 public sale held for that purpose.

11 4. Lease or sublease at fair rental value any real estate or
12 related infrastructure that is acquired pursuant to this section. A lease
13 or sublease that is granted pursuant to this paragraph is exempt from
14 section 41-2752.

15 L. Before any conveyance, lease or sublease pursuant to subsection
16 K, paragraph 2, 3 or 4 of this section, the department shall ensure that
17 the use or development of any real estate, property rights and related
18 infrastructure, real property or improvements to real property complies
19 with section 28-8481.

20 M. If monies remain after the ~~award~~ **DISBURSEMENT** of monies pursuant
21 to subsection G, paragraph 2 of this section, the department may use the
22 remaining monies and any monies received pursuant to subsection K,
23 paragraphs 2, 3 and 4 of this section for either of the following:

24 1. The purposes prescribed in subsection G, paragraph 1 of this
25 section.

26 2. Projects or studies necessary to preserve or enhance military
27 missions and military installments in this state.

28 N. **NOTWITHSTANDING SECTION 37-803**, any agency of this state may
29 accept title to and manage real estate, property rights and related
30 infrastructure that are acquired pursuant to this section.

31 O. For the purposes of this section:

32 1. "Department" means the department of emergency and military
33 affairs.

34 2. "Military installation" has the same meaning prescribed in
35 section 26-261.

36 Sec. 3. Title 26, chapter 1, article 7, Arizona Revised Statutes,
37 is amended by adding section 26-264, to read:

38 **26-264. Military affairs commission fund**

39 **THE MILITARY AFFAIRS COMMISSION FUND IS ESTABLISHED CONSISTING OF**
40 **LEGISLATIVE APPROPRIATIONS, GIFTS, DONATIONS, CONTRIBUTIONS, GRANTS AND**
41 **MONIES MADE AVAILABLE TO THE FUND FROM ANY LAWFUL SOURCE TO SUPPORT THE**
42 **ACTIVITIES OF THE MILITARY AFFAIRS COMMISSION. THE DEPARTMENT OF**
43 **EMERGENCY AND MILITARY AFFAIRS SHALL ADMINISTER THE FUND. MONIES IN THE**
44 **FUND ARE CONTINUOUSLY APPROPRIATED AND ARE EXEMPT FROM THE PROVISIONS OF**
45 **SECTION 35-190 RELATING TO LAPSING OF APPROPRIATIONS. ON NOTICE FROM THE**
46 **ADJUTANT GENERAL, THE STATE TREASURER SHALL INVEST AND DIVEST MONIES IN**

1 THE FUND AS PROVIDED BY SECTION 35-313, AND MONIES EARNED FROM INVESTMENT
2 SHALL BE CREDITED TO THE FUND.

3 Sec. 4. Retention of members

4 Notwithstanding section 26-261, Arizona Revised Statutes, as amended
5 by this act, all persons serving as members of the military affairs
6 commission on the effective date of this act may continue to serve until
7 the expiration of their normal terms. All subsequent appointments shall
8 be made as prescribed by statute.

9 <<Sec. 5. Legislative findings

10 [The legislature finds that:

11 1. The educational, workforce and people-to-people exchange
12 programs between Arizona and Taiwan, which develop the skilled workforce
13 on which this state's defense-related businesses and national defense
14 research and development industries depend, should be expanded, including
15 all of the following:

16 (a) Arizona students studying in Taiwan.

17 (b) Internship opportunities in Taiwan's public and private
18 sectors.

19 (c) Academic and research collaboration.

20 (d) Workforce training in semiconductor and artificial intelligence
21 industries.

22 2. Given that Arizona's military installations and defense-related
23 businesses depend on secure and resilient international supply chains and
24 on reliable cooperation among trading partners, the United Nation General
25 Assembly Resolution 2758 (xxvi) does not determine Taiwan's political
26 status and should not be used to exclude Taiwan from international
27 participation.

28 3. Taiwan's meaningful participation in international
29 organizations, including the World Health Organization, World Health
30 Assembly, International Civil Aviation Organization, United Nations
31 framework convention on climate change and international criminal police
32 organization, supports public health preparedness, aviation safety and law
33 enforcement cooperation and supports the stable and secure environment on
34 which this state's military installations and defense industries rely.

35 4. Strengthening relations between the United States of America and
36 Taiwan and between the State of Arizona and Taiwan in the areas of trade,
37 investment, technology, education, workforce development and cultural and
38 governmental exchanges strengthens this state's defense industrial base.

39 5. The continued expansion of cooperation between Arizona and
40 Taiwan in semiconductors, artificial intelligence, advanced manufacturing
41 and related innovation sectors is beneficial, and Taiwan, through major
42 Taiwanese semiconductor investment in this state, is a critical partner in
43 the secure and resilient supply chains on which Arizona's military
44 installations and national defense industries depend.

1 6. The establishment of Taiwan's trade and investment service
2 center in Phoenix and its role in enhancing bilateral economic engagement
3 and investment cooperation enhance this state's capacity to attract and
4 retain military missions and defense-related business.]]>>

5 Enroll and engross to conform

6 Amend title to conform

TONY RIVERO

1618FloorRIVERO.docx

06/11/2026

7:14 PM

C: AH

130SNDINS